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"Only now has the defence sector begun to rise from its knees and to walk on the road to modernisation."

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"Nations should expect a surge in Russia as a political, economic and military power in the next decade."

A CZAR IS BORN With popularity at an all-time high, Putin nominated Dmitry Medvedev as his successor but retained control by becoming chairman of the ruling United Russia party and agreeing to be the prime minister. He has announced a 2020 vision and is talking tough with the US and Europe.

THE PUTIN EFFECT

HOW RUSSIA HAS CHANGED UNDER HIS EIGHT YEARS OF PRESIDENCY

101 billionaires in Russia in 2007

7% annual GDP growth rate since 2000

10th largest economy in the world, up from 22nd

\$640 average monthly salary, up from \$80

\$470 billion forex reserves, up from \$12 billion

13% poverty rate, down from 30 per cent

55 million middle-class people, up from 8 million in 2000

\$1,330 trillion is the stock market capitalisation, up from \$60 billion

\$82 billion capital inflow in 2007

incisive Moscow-based political columnist. Kosyrev explains, "Just a decade ago we didn't like our skin, our history and our country. But today we are in a happy state of affairs propelled quite simply by money." The booming oil prices in the international market which crossed \$110 a barrel last week have left Russia awash with petrodollars. In 1998 it faced a foreign exchange crisis when the rouble went into a free fall and the country faced bankruptcy. Today its foreign exchange reserves total a healthy \$470 billion and the economy is growing at an average 7 per cent annually.

The consumer boom has seen real estate prices skyrocket and foreign travel by Russians explode. Before the start of the decade Russia didn't have much of a middle class—it had the ultra-rich who numbered a few thousands and the extremely poor who constituted half of the total population of 142 million. Today, Russia's middle class has grown to 55 million people, up from 8 million just a decade ago. With buying of property being permitted after the fall of the Soviet Union, owning a house is the new Russian dream. "We want to get out of our drab tenements and live with IKEA-designed furniture," says Kosyrev.

"In the 1990s, the streets of Moscow were filled with people who had worry lines writ across their faces. Now their mindsets have changed and when I take a morning walk I can see happy people filled with a new hope," says Major General Valery Gribakin, deputy head of administration in Russia's powerful Interior Ministry. Gribakin points out that crime rates have dropped significantly in the past five years and now the major cause of concern is death due to road accidents because of the boom in vehicular traffic. At 42, Gribakin was graduating from the military academy when the Soviet Union collapsed and knows what hard times are all about. He soon became the only breadwinner of the family as the economy went South during the Yeltsin years. His salary stood at a paltry \$50 a month and that too was frequently delayed for months. But under Putin's presidency it has grown close to \$1,500 a month. "Enough for me to live comfortably but not enough to go to nightclubs or throw parties," he jokes.

The boom in Moscow has spawned a pulsating nightlife with the rich holding parties in ultra-luxe night clubs and hyperkinetic discos, spending as much as Gribakin's annual income in a single night. As a young Russian business executive put it, "We have moved from starvation to indigestion in our lifestyles." With the rich getting even richer, Russia boasts of having 101 dollar billionaires, second only to that of the US in number, and over 5,00,000 dollar millionaires. Signs of that prosperity are visible on Moscow roads with the latest models from Porsche, Audi, Mercedes Benz and Bentley jostling for road space with a Soviet fossil